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Rockwool International A/S (ROCK.B.DK)

Q2 2021 Earnings Call

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MANAGEMENT DISCUSSION SECTION

Thomas Harder

Director-Group Treasury & Investor Relations, Rockwool International A/S

Ladies and gentlemen, welcome to the conference call regarding ROCKWOOL International's Results for the First Half Year of 2021. My name is Thomas Harder. I am Director of Group Treasury & Investor Relations of ROCKWOOL International.

Today, I'm pleased to present CEO, Jens Birgersson; and CFO, Kim Junge Andersen. For the first part of this call, all participants will be in a listen-only mode. As a reminder, this conference call is being recorded.

First, Jens Birgersson will go through our presentation and give you an update on the results for the first half year and second quarter of 2021. Afterwards, we'll be ready to answer all your good questions.

Before I hand over the words to Jens Birgersson, I must ask you to note slide number 2, which is the forward-looking statement. Please be aware that this presentation contains uncertainties. Now, we can go to the next slide, which is slide number 3.

Jens Birgersson, I will now hand over the words to you.

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

Thank you, Thomas. Good morning, everyone.

Today, we do this slightly differently. I'm sitting in Aarhus in Denmark. And the reason I do that is that tomorrow we start racing in the SailGP Denmark race. I will be on the boat this afternoon myself. And this is a branding exercise we do to become more known. And so far, this effort has worked greatly for us. We have made a couple of videos of the previous event, and, for example, the two first videos where we mixed a bit of sustainability message to ROCKWOOL with some information about events. We had two million views. And I think up to this point, we never had anything that would have more than 100,000 views. So, that's a great step forward.

We also noticed with this we kind of expand the brand knowledge among future employees, and our own employees, too, get proud from this. So, just been a very, very interesting branding investment we have done so far with a very nice return; very motivating for us to be engaged in this.

So, I just – if you find some time, watch some of this. It will be broadcasted on TV, too. And there is also something on YouTube called the Racing on the Edge Episode 3. It's a similar format to the one some of you might have seen on Formula 1, the Formula 1 drivers with a similar series about this on Netflix -YouTube.

Okay. With that, I would like to move to slide 3 and we get into the numbers. We stepped into the year with a little bit of a slow start. And then, in Q3 we saw some sort of V-plus shaped recovery. And maybe the surprising element to what happened was that it didn't only recover to pre-pandemic level, but we saw business activity above previous record, which were on 2019.

So, if you start with the top line half year, 11% up with almost nothing, no growth in Q1; only towards the end. On the EBIT, €201 million year-to-date. Underlying, if I take the Rockfon settlement that happened in Q2 2019, that's 37% above 2019, and of course it's 46% above 2020 where 2020 Q2 was the worst, the most affected corona quarter so to say. EBIT margin up, and, again, the 2020 reference is not so relevant. If I take the Rockfon settlement up, it's more than a 10-percentage-point higher than in 2019, and that was a very good quarter.

Moving into the quarter, you see those growth numbers there, 35% growth. New high quarter for us. Good margin. Flattish like-for-like versus 2019. 4 percentage point up versus 2020, in Q2 [ph] assignments (00:05:11) on slide 4 now. But taking the Rockfon's US settlement out, we are more than a percentage point up on the EBIT margin.

On the top line, what happened in that quarter was that we were quite helped by the Systems division that grew. All the businesses grew, but especially Grodan had a bit of an exceptional quarter. We saw that competing growth substrate like peat and cocoa, had difficulties being shipped from Asia, and that led to a substitution effect. And we also saw at some of the harbor challenges that have been, for example, Los Angeles Harbor that the – in the medical cannabis market that the distributors really wanted to restock, to have a bit more buffer. And that led to an exceptional good quarter for Grodan.

And when you come to EBIT, that EBIT is maybe surprisingly good because what happened after – in Q1 we had almost no inflation. We had energy prices that are stable. Our material input costs were stable. Logistic was on a steady level. And then, in Q2 we saw this burst of inflation. And you may recall that we talked about the moderate pricing strategy with the raw material pressures that we experienced there. We got a gap between price and inflation. But due to cost reductions in the factories, some mix element, and then fixed cost productivities, the profitability came in quite nicely.

Move on slide 5. Good growth. If you go down to the bottom right, the diagram there, we see that on Insulation, and, again, I go back to 2019, so [ph] mentally (00:07:34) I give you a column of €1 billion – about €1 billion for the half year in 2019. The Insulation business is up 5%, and I'm quite happy with that because, at this stage, we did not – we only open up the [ph] Ran (00:07:52) factory after end of the quarter, and we had a pretty good 2019 on Insulation.

And then on the Systems division, the comparable number in 2017 was [ph] €317 million (00:08:06) turnover, and we grew 21% above that. And there you have the Grodan effect, but also Rockfon, Rockpanel. All the businesses really had a good quarter. And always, when we get into ramp-up stage in that regard, because we're running with a certain number of ships in Q1, we didn't build up that much seasonal stock this year. And with the very drastic ramp-up in demand in Q3, we had to ramp-up with bringing more ships, go higher up on the capacity utilization. It takes a few weeks, sometimes months to do that, and we always put priority to Systems division, but they get their product. So, very pleased with the Systems division, but also very pleased with the Insulation step-up because it was not – no comparable.

Move onto slide 6. There, in 2Q specifically, you saw roughly 7% growth over – so the 30% versus 2020 in Insulation is of course good. But you must remember that [indiscernible] (00:09:24) quarter it's about just short of 7% growth for the Insulation division. And the Systems, also compared to 2019, is up 30% and very good, but really good quarter from Grodan, Rockpanel, Rockfon. But all the businesses in the Systems division have [indiscernible] (00:09:48) double-digit growth. [ph] That's nice. (00:09:52)

Going in to the regional development on slide 7, to sum it up, I will say, in Q2 you see the normal, a little bit slowness, not negative, but we see a bit of slowness in Sweden and Norway due to the vacation season and the tradition in the building sector it slowed down a bit. So, there you have single-digit numbers and not so much growth due to the June-July slowdown in building activity and vacations. But, fundamentally, all markets in Western Europe, Eastern Europe, Russia, really solid growth. And in North America, everything double-digit, everywhere, and with a particular boom in the US where the residential segment is reaching some sort of all-time high I think. It's really, really growing.

Generally, across the businesses, we see the residential segment grow very well. And then as we discussed at the previous call, office buildings and that type of activities there we don't see much growth. Although we've seen now, for example, in France and Germany, that's starting to grow again after a long period of low activity. And then, of course, things like logistics centers, the Amazon style [ph] tadpole (00:11:34) constructions, they are growing very fast, also, car, electric car factories, anything logistics. Big box doing really well.

From a segment perspective, in Q2 with such a high demand for stone wool, I guess all insulation materials and with some constraint still on some of the foam products, a lot came over to stone wool. We took a certain – and we've seen that increasingly as our competitors in stone wool, leaving the lowest margin [indiscernible] (00:12:13), which is the flat roof segment. And we learned 2007, 2008 that that's not a good idea. We are not dropping that from the mix. We see it as our responsibility to make sure the flat roof suppliers get stone wool. We don't want that market for foam, and therefore we see quite a big increase on the flat roof. And that impacted a little bit the Insulation mix. But that's something we want to do and we want to maintain that.

We do not see long-term benefits with – that there is no stone wool for flat roof. [indiscernible] (00:13:02) after a boom last time in 2007 and 2008 [indiscernible] (00:13:09). So, we continue with that. The mix slightly skewed towards flat roof, [ph] and that we have evidence of this (00:13:16).

Profitability, if you move to slide 8, all good I would say. Going back to Q2 2019, that settlement in North America that was in the Systems division and in the ceiling business, Rockfon business. So, that comparable, 20.7%, is not quite fair. So, there really is an improvement in the Systems division on margins and there are couple of factors.

So, that one factor is that they haven't seen the full inflation yet or the raw material increases because we have a system where we slowed that down. We start to adjust their current prices. But then, generally, the mix, and the pricing, and the cost position of the business, all of those – all of that work we have done over the last years has paid off. So, all the businesses have improved the margin. Drawdown has a bit of especially good quarter. We have good margin in that business, and that helps to kind of improve the Systems division margin.

On the Insulation business, good, 14.3% EBIT margin. We're happy with that, especially as the mix is a little bit skewed towards -- a bit more flat than we normally do. Big growth in flat roof. Of course, we are up on GBI, general building insulation...

Thomas Harder

Director-Group Treasury & Investor Relations, Rockwool International A/S

Hey, Jens, just a clarification. You are commenting on slide 9 with the two, Insulation and Systems. This is slide 8 where you have EBITDA and EBIT on the [indiscernible] (00:15:08).

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

Okay. Sorry. Sorry. Okay. But let's move – I'm on slide 9, so we comment on slide 9. So, I think, generally, the EBIT improvement on Systems division is very pleasing. And I'm happy also with the margin on Insulation because the big raw material increase that we have seen, that most of it has impacted the Insulation business. And in spite of that, thanks to factory improvements, productivity, fixed costs, over absorption, and some of the personnel reductions we did last year, that then add up to this good margin.

Okay. We go to the investment activities on page 10. Here, nothing in particular has happened. We basically progressed a little bit lower compared to last year, and that's because of different phase on the North American factory where we have quite heavy investment last year. We did do an acquisition in Japan, a small company north of Tokyo, a small-sized factory and quite a favorable acquisition for us. But I should also say that it's not going to be accretive. It's going to take until early next year before we are up and producing a ROCKWOOL product with our quality standards.

So, we're going to upgrade the factory. We have started that and we have people coming on the ground now to start to plan that one out. But this was an opportunity that come up and we have been active in Japan for quite some years. Importing materials of the brand is not entirely unknown, but it's nice for us to get the small factory on the ground and start to develop that market. As you know, it's not a small economy. So, let's see how that develops.

But don't expect impact that is quick. It takes time and day of plan, and we want to do a couple of things on that factory before we really starts selling. It should also be said that the governmental subsidies in Japan for – in this region are high. So, it's not going to be a capital-intensive upgrade, but you will notice in the numbers is a very, very favorable support to upgrade in our factory. We will do that.

And then, we have kicked off the building – the construction on the new line in France. Obviously, no shovels in the ground yet, but that work has started off. And then, the investment in more Rockfon capacity in Poland is ongoing and targeted. So, we should start that line up end of first quarter 2022.

Slide 11, cash flow. Nothing much to say about that. We have a positive effect. Inventory is low. There's a positive effect on cash, but we would have liked to have a bit more inventory if we could. But on the other hand, thanks to a very good demand, it solved it all. So, that's one.

And then, on due to the ramp-up, quite high level of trade receivables with this slight increase here from below 10% to above 11%. That's primarily due to the trade receivables. And then, the net debt is still negative, so that's good.

We did – slide 12. We did now just continued sustainability calls because we've had recovered a good set of topics. And for that reason, we added in the half-year release. We won't do it in every release. But in the half-year now and then when we do the annual release with the sustainability report, we include some slides. And then, if something in particular comes up, we might add in another call. But half-yearly pace for this now.

So, just to give you an update on our SDG-aligned sustainability goals. So, here, we don't have the science-based targets in. Remember, we had an old goal on CO2 per tonne produced, the CO2 efficiency goal, that we set back in 2015/2016. In addition to this, we have the science-based target goal that is an absolute reduction goal that we all saw progressing. And we will report more on that when we issue the sustainability report early next year.

But if we just go through the progress of these goals, we start with the CO2 emissions. We're ahead of the plan. The biggest moves here were Norway and also the biogas in Denmark. And that's progressing, and we're going to keep doing that. But we are ahead. That's nice.

Landfill waste. Obviously, a lot of that landfill waste, we want to put into – if it's our own material, put it in and make product out of it. That's also ahead of plan, and we are rolling out the circularity team also so that we can take external waste material back. The recycling team [indiscernible] (00:21:31). And so, that's ahead of plan. That's good. Reclaimed waste linked to the landfill waste, but also growing good.

Water consumption, ahead. Water consumption but that's ahead of the goal is needs determination because where we produce water, it's so cheap. But you spend money and you spend energy on saving something that really doesn't cost anything. And the way water is priced at, we don't pay more for water in the summer when it's running out to tell you to not use it for the lawn. And that's the way it's priced today with municipal water. But maybe [ph] some of you (00:22:13) think about that. But then, here, we are doing the work and then good that progresses because we do use water and also being more circular on water is something we do on rainwater. So, we are investing in that and it's got great payback.

Energy efficiency of our buildings [ph] on one side, okay (00:22:33), how can you be behind on that? We are behind because, during corona, it was difficult to get this with the boom in building activity and not having people in our own offices. But the programs are identified. We have set the money aside for it. And we do this in maybe a slightly different way to how you do it. I want the management team of the operational entity to be really, really involved in the project so that we learn how to renovate our own products. So, that's fantastically fun projects but with also a lot of work to do it because it's not just handing it over to an architect and have it done. The whole team needs to be involved and understand how we can apply all of our product.

And the picture on the right is our office in Gladbeck. This building – now we haven't included the before picture, but that building was really, really awful concrete structure. It would probably win the prize as one of the ugliest buildings in the group. And what we have done here is that we have renovated it all with our own products. We have used rock, panel, ventilated façade, attics. And on the top floor, we have added there you see we have increased the number of work places. We have done Rockzero floor on top because the building was so strong that we could add one floor by doing Rockzero walls.

And we actually aimed for German Sustainable Building Council, DGNB, silver certification. But when the building was done, we actually got a gold and that's quite hard to get with a renovation. And we have had many politician and municipal people visited this because with the new Fit for 55 new directives. So, the ambition there with the higher – the increased focus on energy renovation first and to not tear buildings down, this project has gotten a lot of attention. And the project run really smoothly. And in retrospect, it costs us a lot less than tearing this down to make a new building. So, very proud of that.

Just to give you an example, in Denmark, I think there's only one project last year that got this gold in the whole of Denmark and that was a new build project. So, I'm happy with that. So, nice progress. And when we look at that energy efficiency of own footprint, so to say, our buildings, we will progress with that. But we need to complete more projects and there's quite a lot of work. We will get better after [indiscernible] (00:25:42).

Slide 13. Really, really important slide. It's worth a full hour just to discuss this. But what you see now is that, in the EU's ambition to be carbon-neutral or net zero, that is a net zero position by 2050 across the EU, they have put together a program called Fit for 55 where they address energy efficiency. It's a directive for that. Emission trading system and the CO2 forecast, energy taxation directive, and there's also a climate action on social facility package. But a whole slate of things. And they all point towards energy efficiency first, increasing the renovation rate of public buildings, widening the definition of scope for public buildings, raising the efficiency targets per country per year from 0.8% to 1.5%, increasing the cost of CO2 quotas, reducing the pre-quotas. So, everything basically speaking for more work in our area.

And I can say with the new IPCC report, all of that works need to be done. Otherwise, there's no chance to stop the trend. And I would say, even if half of it happens, we're going to see a lot of business and there is a lot of money into it. So, it's a lot of positive things in that.

If you look at the national recovery and resilience spending plan, EU put together €673 billion signed. €36 billion of that is already assigned to energy efficiency renovation in 2021 to 2026.

So, there are a lot of schemes and initiatives and regulation and directives coming here. They are not decided on yet, all of these, but they will come. And I think there is one important insight when you look at all of these directives, that is only the energy taxation directive that need a unified decision that everyone say yes. The others need a qualified majority vote in the EU. So, it's not enough that if two countries – we all know what countries might go against. Some of these say no, it doesn't matter because if it's a qualified majority vote, then we'll go ahead with it. Then, of course, that might be watered down a bit. But the sheer size of this and the direction is good news for us. And I feel it's moving in the right direction, and this will support our business and Insulation.

And we see this big money also in North America focusing on this, in addition to the very buoyant residential market. So, the timing of our factory in West Virginia, I mean, we are not moving as fast as we can to ramp up production. And so far, so good. But it comes at a good time.

Okay. Outlook. Nothing much to say about that, really. Top line, 17%. I have put in a small beware in my outlook. You have strong demand from many materials, so the one thing we need to be careful about is we need to get the pallets, we need to get [ph] binder (00:29:58), we need to get stone within all those gaps. But we need to be active on the incoming side the material into the factories. I don't see that threatening the top line. There might be other interruption somewhere between now and Christmas maybe in the factory because of the material short stop. That could happen, but it won't impact the number.

A little bit what I warn for is that, potentially in the construction market, if you have other construction materials going to the site doesn't come. And we have a heavy winter, might decide to pause the project for a longer period and then wait for the material to arrive, and then we start off in the New Year. So, I see a slight risk for that and haven't really experienced the situation before, so I don't know how likely it is but I don't exclude it.

And then, on to the EBIT margin, we did get through although we haven't yet priced in the market so that we fully match the inflation. We don't – we didn't do that in Q1 with mix and productivity and other improvements, we got to a good margin. I foresee that the beginning of the second half-year, pricing will improve gradually. And then, when we get to Q4, we're going to be in balance between inflation and price. And so, that's a translation we are doing. We don't have the full price increase in place yet because we – due to our pricing structure for the year, which was not doing so much in Q1. And then, the inflation came and then we have to raise our pricing ambition. So, that's underway. But this is all in hand. It's coming with some timing issues. So, it's not well on track.

And then, on the CapEx, I would think that on the €370 million, the challenge you have when you go up on full capacity. Five ships is a sum of the CapEx to get the outage to put it in can be difficult because we might rather produce. So, it's a bit hard to say. But I will say, we shouldn't exceed the CapEx because the machines are running so hard that it's actually hard to [ph] get to certainly (00:32:43) some of the maintenance CapEx.

Okay. I think that's what I have to say about the slides. With that, I would like to hand over for questions.

QUESTION AND ANSWER SECTION

Operator: Thank you. [Operator Instructions] And our first question comes from the line of Yves Bromehead from Exane BNP Paribas. Please, go ahead. Your line is open.

Yves Bromehead

Analyst, Exane BNP Paribas

Q

Good morning, everyone. Thank you for taking my question and good luck for the exciting boat race this afternoon. Three questions, if I could. Number one is the price cost. Can you maybe help us to understand what are your expectations regarding the cost inflation in H2 and what magnitude of price hike you've introduced in the summer? That'd be helpful.

My second question is on the shortages that you're mentioning. Can you just be a bit more specific? Are there any countries where you anticipate higher risk than other countries? And also, have you included the risk of those guidance – of those shortages in your top line and margin guidance?

And my final question is looking more medium-term, you seem to be excited by the renovation wave and the stimulus with what that can bring as a tailwind for the insulation industry. I think it's quite clear the money seems to be here. But on the grounds, can the craftsmen actually increase the amount of jobs that they can do from current levels or are they just running completely flat out and it all depends on the hiring potential which also looks quite difficult given where unemployment rate is today, which is quite low already? So, what's your view on that? Is it feasible or not? Thank you.

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

A

Yeah, yeah. So, [audio gap] (00:34:51) two and three and then Kim will do one. So, I start with the short to this and what I put into my forecast. I have not put into the forecast that we would have the early closure of projects because of shortages of other building materials on the site. Some of it is in. We see some of it today. But I haven't put in in my forecast a broad based. Germany decides to shut down first of December all projects and go home for a month. I haven't put that in, but normal ups and down. We have a little bit of risks up and down as normal. So, it needs to be something quite big. I just want to flag it.

And those short – and then, shortages on the incoming material side, I think more or less be able to manage that across all countries. We run it weekly every material green, red, yellow. We are very used to doing that and we find a solution. And sometimes, if you have a particular, let's assume, you have a customer saying, I want a certain type of pallet and we don't have the pallet, and often we can just produce another product and use – we can work around it, working a bit with the mix and the portfolio. So, I don't see that be a big thing.

But when that then leads into your third question, I think that's a very narrow question you asked there and it's very hard to find data on that. I think the car industry is booming. It's a bit slower to get people, blue collars in, factory workers, but that's still a manageable amount. We've got them in.

And by the way, I should have comment that I'm missing the safety target. I missed the safety target. I should have said that. We have this target where we improve every year what we see now that we bring people in is that, with this flexibility we have – trips, falls, fingers, bringing new people in and getting to use to moving shifts up and down more – we also have a little bit more challenges to not have these slips and falls. And that is reflected in the

safety targets. So, it might be that the three – rate of three lost time accident is a very ambitious level with this flexibility we have. But just as a comment on that goal and that's one of the reasons we miss it.

But I think exactly what you say, evidently, the construction industry is able to install these levels of just able to build and do what we are right now. Will the installers and builders, will we be able to create additional ones to have the whole industry drive grow more? And what happens if it moves away with the focus on [indiscernible] (00:38:01) embedded carbon with 75% of the carbon in the building since it's embedded in the material when you build it. The EU would probably – as in many countries, would probably steer energy efficiency to renovating and try to get it away from new build, and then the efficiency might be reduced even though there are not clear numbers on that but that's what most of us believe. And then, you see dependent on construction workers.

And there, it's very hard for me just to foresee whether countries would be capable of getting more construction workers. I'm cautious about that. I worried about that for years. And I think that's going to be a constraint we're going to hit at some stage. And I can't say how much more we can grow – I mean, the construction market can grow before it hits that constraint. Are we already there or is there another 10% or other ways of adding more people to the industry. We will have to see how that goes.

Over to you, Kim, on price and cost.

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, Rockwool International A/S

A

Yeah. Thank you very much. Even I think it's fair to say that the pricing impact in the first half has not been anything to speak of. We also didn't mention this as one of our, you can say, drivers for profitability in the first half. But clearly, in the second half with the price adjustments we have made in the market, we do expect and see instead a growing impact from pricing, leading into hopefully an expected balance between the impact of – from some sales price and cost inflation of input material in the fourth quarter. We are still talking single-digit price increases in aggregate, so it is something that is not outrageously in the market. So, I think that's – so, my expectation is that you will hopefully see an improved, slightly improved insulation market in this leading into at least in Q4.

Yves Bromehead

Analyst, Exane BNP Paribas

Q

Okay. Thank you very much to both of you.

Operator: Thank you. Our next question comes from the line of Brijesh Siya of HSBC. Please, go ahead. Your line is open.

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

Thank you, all. Congratulations on a good set of numbers. And I have two questions, if I may. The first one is on the capacity constraints you talked about in the press release, having many countries at full capacity. So, could you please talk a little more about what are those countries that are capacity constraints? And in that regard, if you can give us what's the current utilization at the group level...

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

A

Yeah, yeah.

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

...obviously, slightly lower in the US.

Q

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

Okay. So, I don't give the utilization level. Sorry, we never do that. But I can just say one thing. We have free capacity so we can grow next year. What I'm more worried about is labor capacity on the construction site. I would be able to grow next year substantially, okay? But we need to start the year with building seasonal start. We can't have a quarter where we're running on three shifts and things like that. We need to run at a high level but we have more capacity. And we started up a machine in Norberg. We have steel ships to put on and run the whole year and freeze less capacity. And we have Ranson line coming up. So, we can grow. But the growth worry I have for next year would be if the labor is not there to install and keep the construction market growing.

A

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, Rockwool International A/S

Yeah. And, Jens, the constraint that we talk about in our report is sort of the general constraint in the construction market because there are other materials, of course, that are – that the construction market is depending upon. And thereby, we also become sort of constrained [indiscernible] (00:42:32) shortage of wood for instance.

A

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Understood, okay. So, when you say substantial, would it be fair to assume that, as you see right now, it's looking like at least the 10% growth is possible next year?

Q

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

I cannot say what the market is. I'm not forecasting that we – I'm not forecasting for next year a 10% growth. We will come with the forecast later. But what I want to say is, if the market grows 10%, I can deliver 10% growth. But I'm not making my forecasts for next year. But there's not going to be my capacity preventing me from delivering the market next year, okay?

A

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Understood. Yeah. And now, coming to the guidance on the 17% like-for-like sales growth or local currency growth, how much of that you think is driven by this market sales shift both in Insulation and in the Grodan business? Any kind of ballpark you think is kind of driving that and rest all are underlying market improvement?

Q

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

Come again on that question, I didn't quite get it.

A

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

Sure. So, this 17% like local currency growth for 2021. In that, how much you think is being driven by a market sales shift from plastic foam as well as the Grodan market share you got in Q2? So, I mean, is that a quarter of that you think is coming from those two shifts and rest are all underlying market improvement?

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

I don't have a percentage for it. But when I look at organic growth numbers, I think that the bit comes from that side and that glass wool and stone wool benefits a bit from that. But the percentage number, I can't say. And then, our experience with Grodan, I don't expect all the coke and peat substitution to go back because what we found before is that the farmers go back because they are cheaper products. But when you look at the total productivity output in relation to the cost, our substrate is better. That's what we argue. You would expect that from me. But – so, we tend to see that when quite few farmers that go from coke or peat and try our material, once they've seen that, many of them will stay. So, I think you have some of that element that is a permanent substitution, but not all. But it's very hard to judge how much that will be that will remain.

And the same – at the same time, the substitution, we do benefit from the substitution from EPS with the high pricing. They have increased prices quite high [ph] and I'm sure to this (00:45:54) so we have benefited. But to get numbers on that versus the total market size in the middle of the year, it's very hard, very hard.

I can say one thing, though, that some of our growth we have had, some of it is that we are growing well in flat roof because we have competition at the side. Okay, flat roof is too low margin. [indiscernible] (00:46:22), so we go on some other heavy segment and we don't go so hard on the flat roof. So, there, we have had to step in and take more of, so to say, an unfavorable mix to prevent segments from getting substituted into plastic foam. So, you have a little bit of effects both ways, I would say. There, we have an internal substitution [ph] with all those form of (00:46:48) supply. Okay?

Brijesh Siya*Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.*

Q

Can I ask one more question on capacity? You announced this France plant, which is obviously a large-sized electrical melter, which is probably a first one for you. But we haven't got the kind of investment you are doing. Is there any government subsidy involved in that? So, if you could give little more details on it and how you see this success about having a large electric melter in place by 2024? And how does that kind of...

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

Yeah, yeah.

Brijesh Siya*Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.*

Q

...evolve your plant network?

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

Yeah.

Kim Junge Andersen*Chief Financial Officer & Senior Vice President, Rockwool International A/S*

A

So, before you answer, Jens, just jumping in here. Analysts, please respect that we have two questions only. We have quite a long queue list today. I will let this one go, but next please take two questions only. Thank you.

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

Yeah. Okay. So, the large-scale melter, I was up in Norway yesterday and the day before and I looked at our melter, it runs really well. I think we understand the parameters. Fantastic kit. So, this step to do the French one, actually the big step was to make the one in Norway. This step here with the design parameters went quite well now, I think. So, I see that as no risk. I could be wrong, but that's what I see. And we are producing really well up in Norway and that's going well. So, that's on the melter.

And then, normally in these times when you do that – when you put an electrical melter in, you get some subsidy. But we normally don't talk about how much, but we talk – our project, [ph] we mined (00:48:35) €5 million, €10 million, €15 million subsidy. The Norway case was exceptional that we get €10 million. So, it's not the size [ph] of where we go (00:48:50) with the melter. It doesn't impact the calculation that much. But, of course, we appreciate it and we got it, but we don't declare how much that is. And we don't give CapEx value per plant. And the reason we don't do that, I'm just going to give you some perimeters that they're good to know. But if you make, for example, the stone wool plant and you grow heavy density, the whole cold end of such a plant can be small. It's easy to pack a heavy density product. If you go build a plant that is designed for residential and light densities, the downstream end of the plant looks entirely different with much, much more equipment. And therefore, we have come to the conclusion that we should not reveal how much we invest CapEx in each plant. But you will see the total numbers and you will see how much our capacity investments, what is sustainability investments and what the maintenance.

Brijesh Siya*Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.*

Q

All right. Thank you very much.

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

Okay. Thank you. Next question.

Operator: Thank you. The next question comes from the line of Kristian Johansen of Danske Bank. Please, go ahead. Your line is open.

Kristian Tornøe Johansen*Analyst, Danske Bank*

Q

Yes. Thank you. So, two questions from my side. Firstly, on pricing in Systems. So, you said as a general remark that there's been little impact from pricing in the first half. Does that cost Systems as well or have you actually managed to get through price increases [indiscernible] (00:50:28)?

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

There you have it slightly different because they haven't seen much inflation. We do price increases, but the inflation really took off. Inflation might be the wrong word. Raw material cost increase and logistic increases. So, the Systems division have benefited more from the moderate price increases that we already have in full swing because they made those and they didn't have so much material cost increases. And so, there should be basically balance the whole year inflation versus price, yeah?

Kristian Tornøe Johansen

Analyst, Danske Bank

Understood. And then, I mean, same question along the same lines here. On this transfer pricing, so correct me if I'm wrong. But as I understand it, Systems is buying the stone wool from Insulation at, you can say, prices which doesn't reflect the increase you've seen in raw materials. Can you...

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

We have...

Kristian Tornøe Johansen

Analyst, Danske Bank

...quantify how much that boosts earnings in Systems?

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

Yeah. I hand that one over soon to Kim. But these are things we adjust but we don't adjust in the system, in the ERP system, every month. We like to keep it steady. So, we prefer to have comparable numbers for a little bit longer and still we need to do it from a tax perspective and all the right – in the right way. So, it means that we prefer to let volatility move out of it but to have the direction right. And of course, we should be right over time. It's just that when things happen so swiftly, what we worry when we see that type of inflation is not that we put the controllers on doing transfer pricing change internally, you put the salespeople on getting the prices in the market to compensate.

So, Kim can put some more accurate words, but – Kim?

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, Rockwool International A/S

Yeah. It is correct, Kristian. We normally try to keep transfer prices stable. Systems division also, you can say, buys some of their own raw materials like steel, fleece, etcetera. So, they have a direct, say, impact there on market prices. We had decided this year because of the cost increases to do a midyear price adjustment on our transfer prices between Insulation and Systems. The impact in the first half has been very small in overall scheme of things, less than 1 percentage points impact on Insulation margin.

Kristian Tornøe Johansen

Analyst, Danske Bank

Okay. So, we should expect, all things equal, sort of 1 percentage point lower market in Systems in the second half from the transfer price?

Kim Junge Andersen*Chief Financial Officer & Senior Vice President, Rockwool International A/S*

Less than 1 percentage point.

A

Kristian Tornøe Johansen*Analyst, Danske Bank*

[indiscernible] (00:53:26).

Q

Operator: Thank you. And our next question comes from the line of Yassine Touahri of On Field Research. Please, go ahead. Your line is open.

Yassine Touahri*Analyst, On Field Investment Research LLP*

Yes. I would have two questions, one question on Grodan. Do you see the strong trends continuing in July and August? And also, Grodan had very strong first quarter [ph] already (00:53:52). And the question is that is the market share gain that you get in Q2 sustainable, although you see you could get it back later this year if the shipping situation out of Asia is normalizing?

Q

And then the second question is just on the energy efficiency of buildings. You're saying that you are late on improving your building. Do you see that happening with your client as well? Do you see a good backlog because a lot of your clients were not able to improve their buildings because of the COVID restriction?

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

Yeah. Okay. Good question. So, I don't comment on Grodan, but I think Q2 was a lot of growth for Grodan also versus 2019, and those three factors I mentioned or two factors for two different other substrate. So, that – and the stock build, and that's one exception. But the underlying sustainable food production, increase productivity, vegetable growing, and medical cannabis is all growing. And I see that will continue. But what happened in Q2 was a bit exceptional.

A

But I don't see that Grodan will not continue to grow, and we keep investing in capacity. They are a bit below the radar of investments, but we do it all the time and we improve investments. More slabs, more blocks because this just keeps growing. And we have seen this growth now for, what is it, five years. And then you have the regulatory impact in the US for a while when they regulated them and legalized more. That should slow the market down because it became a bit confused how these new growers would act. So, I think Grodan will continue, but then not quite the same pace, but it's a positive outlook.

Then on the renovation slowdown, I think, generally, renovation [indiscernible] (00:56:10). But you see Italy, they really boosted it. You see it picking up. But in a heated construction market on residential, it is a challenge. But it's hard to say what do you compare with because it's not like we had the plant down to the quarter when we would do it. It's a conceptual phase, we do it, and we are doing enough product to meet our goal in 2030, and we know we're on track for that. And then the midyear point, we're a little bit behind of straight curve.

But I think, generally, renovations are that way. They take a bit longer time and the conceptual stage is harder. And in a labor constrained construction market it's even harder to do it because you need a certain quality to do

what you do. It's actually easier to do a new build. So, I think you could have seen more renovation if it wasn't COVID and all the rest, but it's still a good level, so we are happy.

Yassine Touahri*Analyst, On Field Investment Research LLP*

Q

Is it fair to say that you got a good backlog when you're looking at your project business?

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

We don't really have much of a backlog. We don't like to have a backlog. We have some frame agreements and then there are some customers, Skanska, Amazon, and others that want to deal directly. We quote, we win an order. Tesla, huge project for us. And then you have a backlog, but it's still a relatively small segment of ours. The normal business we have is you bid for a project, you win it just the project segment, and the vast, vast majority of business is the other business, just [ph] bread and butter (00:57:55) day-to-day-to-day in our backlog.

Yassine Touahri*Analyst, On Field Investment Research LLP*

Q

Thank you very much.

Operator: Thank you. Our next question comes from the line of Claus Almer of Nordea. Please go ahead, your line is open.

Claus Almer*Analyst, Nordea Markets*

Q

Thank you. Yeah. Also, two questions from my side, and I'll take them one by one. Just moving to the Systems division, you talked about this transfer pricing impact, but should we expect that the EBIT margin that we have seen in the first half or Q2 is a new level of the company? That would be the first one.

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

We don't forecast margin by business and we did do a work. We did a lot of work on Systems division to put it in shape. We have done a lot and we get the benefit. And, as you know, when you have set up a business and you grow and you get the productivity improvements, it pays off. But I personally don't forecast. I don't make a forecast. We make a forecast for all of it. We know what's happening, but I don't set a new forecast for the businesses.

And then you have a mix element. And then the mix, since we don't have so much backlog, can move around. So, I would expect the margin to be a bit lower, set aside the price, because the mix was extremely rich in Q2. It was a very favorable mix. But, again, I'd been wrong a couple of quarters. And I give myself that. I'm okay to be wrong on that because I don't want to set and forecast margins. But it could be a little bit lower and then you have a transfer price effect. But you also have more pricing coming out. But you shouldn't expect it to keep going up like this.

Claus Almer*Analyst, Nordea Markets*

Q

Okay. So, broadly saying, more stable, plus/minus, I guess, that's what you are hinting. Okay. The second question goes to the Insulation business where as you also – your slide showed that the EBIT margin is down versus Q2 2019. And you also mentioned – I think Kim mentioned that the pricing impact was quite limited in Q2 and you have solid volume growth and [ph] fearful (01:00:26) pricing environment.

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

Yeah. Yeah.

Claus Almer

Analyst, Nordea Markets

So, why is it actually is down?

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

Yeah. Yeah. So, it's exactly what you said, that you have a couple of things. You have inflation that went from zero to terrible in a matter of a few weeks for us in Q2, and they carry that. But then we have productivity improvement, fixed cost improvements, and our lean cost reductions in the factory. That compensated a fair amount, but not all of it. So, the net is that we have compensated a lot of the inflation through other actions, but not all of it, and that's why you see that.

Claus Almer

Analyst, Nordea Markets

Sure. That I understand. But just given the significant volume growth should give you better profitability in the factories.

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

Yeah. Yeah. But there is also another factor. When we sell more to Systems division, we see lower margin.

Claus Almer

Analyst, Nordea Markets

Okay. So, that's also part of the reason?

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

Yeah. Yeah. Because that's a transfer price cost plus scheme. So, we are super happy to do it and we put priority to it because the total margin is fantastic. But some of our operational entities have had very big growth on internal supply, so they look a little bit worse on the margin. But the way we look at it then, it's a mix issue in the Insulation business. But we separated them and we see how did we do on the external business, how did we do on the internal. And we judge the managers on that because we still really want all the internal tonnes to go to Systems division, so they turn it into Systems.

So, that's what you see. But not nothing – my view, we are on track with the pricing. We were a little bit – it takes a couple of quarters to get up. Q4, we should be perfectly balanced, work that out of the way. And we should be,

in my mind, quite proud of what we delivered on the bottom line in Q2 in spite of all these cost increases and challenges. So, I'm happy with that Q2.

Claus Almer*Analyst, Nordea Markets*

Q

Sure. But one thing is obviously the margin, but also in the absolute number, the growth is not that substantial given the volume growth. But I guess I have asked my two questions now.

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

Yeah, yeah, yeah. Okay. Thanks, Claus.

Operator: Thank you. Our next question comes from the line of Manish Beria of Société Générale. Please go ahead, your line is open.

Manish Beria*Analyst, Société Générale*

Q

So hi there. So, I have two question. I will ask the question one by one. The first question is like you said pricing is up moderately. But I calculate, I mean, it seems to me the pricing is only up 0.5 percentage point in 2Q 2021. So, first, is this correct?

And also, within your guidance of 17%, the comment that you made on pricing in second half, it seems to me in this 17% guidance, something like 13% will be volume and 4% is price. So, is this the right way to look at it?

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

I would love to answer, but we don't answer to that granularity. Kim has the spreadsheet of course, but we don't comment to that level. But there will be more pricing in the second-half year than in the first-half year. And in Q4 inflation raw material increases I want that balanced out with the prices.

Manish Beria*Analyst, Société Générale*

Q

Okay. And the pricing that is 0.5%, I mean, if you just quantify it's moderately up, is it like 0.5 percentage point in Q2 2021, the pricing impact.

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

Kim?

Kim Junge Andersen*Chief Financial Officer & Senior Vice President, Rockwool International A/S*

A

Yeah, Manish, as Jens rightly say, we do not comment on that type of granularity. But when we say that pricing has only or had very limited impact in the first half, then it's limited both negative and positive. Then you can do your own assessment.

Manish Beria

Analyst, Société Générale

Q

Okay. I see your point. The second one is like at the start of the year you talked about something like €15 million of start-up cost. So, how much has this manifested in the first half of this year? And also...

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

A

Yeah. No.

Manish Beria

Analyst, Société Générale

Q

...you talked about – yeah?

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

A

How many questions now, Manish?

Manish Beria

Analyst, Société Générale

Q

This is the second one. Yeah.

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

A

Yeah. So, start-up costs. So, Kim, take the one with start-up – there wasn't much start-up cost. The main thing is coming on in second half. But, Kim, throw some light on it.

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, Rockwool International A/S

A

Yeah. Exactly. That's absolutely true. The main difference to last year will be the start-up of Ranson. And that was only starting operating here in the early part of the second half, i.e., in July. So, you will only see OpEx and depreciation coming in in the second half. So, that, of course, will have an impact.

And we previously talked about that the start-up of Ranson and Norberg would have slightly less than a percentage points impact. And I think it's the same thing with Ranson. It will have and you will see that clearly on depreciation coming in and also fixed cost by just running the factory that it does have an impact in the second half on margins compared to the first half. And we will not quantify specifically, but it's something that is between 0.5 and 1 percentage point.

Manish Beria

Analyst, Société Générale

Q

Okay. And if I can just squeeze in one more like the depreciation you say it will have an impact of 1 percentage point on margins. So, of course, we have upgraded our sales numbers so much. So, if you can just quantify this 1 percentage point in absolute terms also because last time when you say it implied like €40 million higher depreciation cost versus last year, so from €180 million to €220 million to €225 million depreciation. But can you just confirm, I mean, how much in absolute terms the depreciation will rise this year?

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, Rockwool International A/S

A

No. But if you have, in the second half between 0.5% and 1%, then you have anywhere between, you can say, €7 million to, I would say, €15 million, so around the €10 million, plus/minus, impact, Manish.

Manish Beria

Analyst, Société Générale

Q

In the second half.

Kim Junge Andersen

Chief Financial Officer & Senior Vice President, Rockwool International A/S

A

Yeah.

Manish Beria

Analyst, Société Générale

Q

Okay. Thank you.

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

A

Okay.

Operator: Thank you. And our last question comes from the line of Laurits Kjærgaard of ABG. Please go ahead, your line is open.

Laurits Louis Kjaergaard

Analyst, ABG Sundal Collier

Q

Hi, Jens, best of luck on the boats later. A question from my side, which we've spoken too quite a lot of times before is the penetration of stone wool versus your competitors. And you mentioned in your report that there's a competing insulation materials where they are converting to stone wool in the market. Could you share the delta, so the price difference between, for example, the plastic competitors who's had a really difficult first-half year with oil and plastic prices being extremely volatile and increasing, and then the difference to, let's say, your offering to the market?

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

A

I'd say it like this. Like before we had EPS really, really cheap, but still I don't think it's the price that drives the – they have increased their prices but it's availability I think that's also impacted a bit, and that has given more volumes.

Then on the [indiscernible] (01:08:39), we have seen very significant price increases from that part and also shortages. So, I think that has impacted. And if they have increased their prices 10% or 20% or 25%, I don't specifically know. But clear is that, from a cost competitiveness, I think we have been in a quite good position versus and they normally come a bit cheaper than us now. Now, that has evened out. And then there is substitution.

But I think also the general shortage situation might have impacted what they focus on. And since that's 50% of the market or more, exactly what they have gone for. But when I go through the numbers of those, I don't see an awful amount of organic growth. You don't see 30%, 40% organic growth. So, I think the shortage situation might have been the bigger impact, although prices have made some impact on the products we see.

I have a feeling that most of the extra growth we have in the heavy segments are actually because stone wool competitors have not been so keen to go into those projects. For example, the flat roof growth has been because other stone wool suppliers have not been keen to take scarce capacity input into that segment. But we don't have an assessment at this stage. It's project by project and it's just flat roof growing quite a lot. But it's not extreme. I mean, attics is also growing really, really well. So, very hard to quantify specifically, but they have raised prices.

Laurits Louis Kjaergaard

Analyst, ABG Sundal Collier

So, number one, wouldn't you assume that this has been very favorable for your business and perhaps there's a normalization...

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

Yeah. Yeah.

Laurits Louis Kjaergaard

Analyst, ABG Sundal Collier

...kicking in perhaps already in the second half but also next year where this very favorable situation is not apparent, and therefore you might have a little bit of pressure in your business?

Jens Birgersson

President & Chief Executive Officer, Rockwool International A/S

Yeah. Yeah. Maybe if it stays on this level, and that would swing back a bit, it's not the big impact on the business. We're talking – we have many segments in the business. And let's say flat roof would go down with 30,000 tonnes, it doesn't make a big difference. We will maybe go after some other business instead or keep the business. It's not so dramatic. But we certainly see it on the mix and there are two factors in the flat roof segment, as we said, two segments that are a bit extraordinary.

On the other hand, I think in today's market, if we wouldn't have had that business, we would have sold it somewhere else in a richer, richer – with a higher price, maybe in GBI sold a bit more, push a little bit harder, pushed a little bit more on renovation. Because what happens in this situation in this, if you look at Italy I think you can decide how hard you push in the market because you have a certain capacity in the quarter. We are ramping up. We have certain stock, and there's no need to push sales in a certain segment if that – if you don't have the tonnes around then, that will be a delivery in December. So, there's still quite a lot you can do. So, I think that if the market activity stays on this level, I think both the volume and the pricing environment is going to be pretty good in the market.

Laurits Louis Kjaergaard

Analyst, ABG Sundal Collier

And just in terms of the competitive prices, you've previously said that you would rather have competitive prices versus other materials and competitors in order to increase penetration of stone wool rather than perhaps just increasing your margins and increasing your earnings and cash flow. Could we say is there tipping point

somewhere where you've taken enough market share to say, okay, we will increase our prices and have better margins in our business?

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

Yeah. But it's more about being ROCKWOOL, and you see us do these things all the time. And, short term, you could have increased prices more. I could have shifted the mix, but I think it's not smart that flat roof suppliers can't get flat roof and stone wool and open up some segments to foam where they haven't been in certain markets. So, we take that responsibility. And my view of margins is I want good margins, but I honestly don't care too much about whether it's 13%, 14%, or 12.5%. I want to have good margin and an ability to grow the business and have a sustainable progress in the business. I'm not interested in getting 15% margin and exploit the situation two quarters to get some extra money there and then I'll upset every customer in the segment.

Because we can do that. My guys can do that if we want to do that, but we don't want to do that. We want to look at it and try to tune it, so it works for our customers quarter, quarter, year, year, year, and keeps working. So, we don't do what we did 2007, 2008 because the recall of that was awful and it took us years to fix.

So, I've said that many times. That's how we like to do. It might not swing as much up, but it doesn't swing so much down either, and that's what we manifest here.

Laurits Louis Kjaergaard*Analyst, ABG Sundal Collier*

Q

Super. Thank you very much and best of luck later. Stay safe.

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

Okay. Thanks. The real race start tomorrow and the final is on Saturday. So, tomorrow is just practice races...

Laurits Louis Kjaergaard*Analyst, ABG Sundal Collier*

Q

Good luck.

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

A

...but thanks. We look forward.

Operator: Thank you. As we have no further questions, I'll hand back to our speakers for the closing comments.

Thomas Harder*Director-Group Treasury & Investor Relations, Rockwool International A/S*

Thank you and thank you, all, for joining today's earnings call. Hope to see you next week or speak to you. Bye.

Jens Birgersson*President & Chief Executive Officer, Rockwool International A/S*

Thank you very much. Bye.

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